# FIN4080 Behavioral Finance
# Complete Presentation Project Bank

### 57 Operable Projects for Undergraduate Students

The Chinese University of Hong Kong (Shenzhen)

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**Abstract**

This document contains 57 presentation projects for FIN4080 Behavioral Finance, organized into 11 thematic sections. Each project specifies: (1) the goal and its relation to course materials, (2) presentation questions that frame the analysis, and (3) suggested analysis including data work, news searching, and visualization. Groups may adapt or extend the suggested analysis as they see fit. All projects use publicly available data and open-source tools. Projects are designed to be distinct from lecture cases and from each other.

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# 1 How to Use This Document

**Structure:** 11 sections, 57 projects in total. Projects are grouped by theme; the final section lists all projects with data sources. Each section corresponds roughly to 1–2 weeks of the course.

**Group size:** 2–3 students per group. Each group presents 1 project over the semester.

**Presentation:** 10 minutes + 3 minutes Q&A. Maximum 10 slides.

**Data policy:** All data must be from public sources or obtained with proper permission. The TA will audit your raw data files and code for authenticity.

**General deliverables for every project:**

- Presentation slides (PDF).
- Raw data files (CSV/Excel).
- Analysis code (Python/R, reproducible).
- At least one original visualization.
- A one-page "data provenance" statement.

# 2 Foundations & Market Efficiency

## 2.1 Project 1: Weak-Form Efficiency in the Chinese A-Share Market

**Goal.**

The course opens with the Efficient Market Hypothesis (EMH). This project tests weak-form efficiency in Chinese A-shares using three classic tests: runs test, autocorrelation, and variance ratio. It connects to Week 1–2 lectures on random walk and EMH.

**Presentation Questions.**

- Is the Chinese A-share market weak-form efficient? Which tests reject efficiency?
- Do the results differ between large-cap and small-cap stocks?
- How do institutional changes (e.g., T+1 trading, price limits) affect efficiency?
- What are the limitations of these statistical tests?

**Suggested Analysis.**

1. Download daily returns for the CSI 300, CSI 500, and at least 5 individual stocks (e.g., from Yahoo Finance or AKShare) for 2015–2024.
2. Conduct a **runs test**: count the number of runs (consecutive same-sign returns) and compare to the expected number under randomness.
3. Compute the **first-order autocorrelation** of daily returns. Test whether it is significantly different from zero.
4. Conduct a **variance ratio test** (Lo–MacKinlay, 1988) for horizons of 2, 5, 10, and 20 days.
5. Visualize the autocorrelation function (ACF) and the variance ratio by horizon.
6. Search for news about market microstructure changes (e.g., the 2015 crash, the 2016 circuit breaker) that might affect efficiency.

## 2.2 Project 2: Crypto Bubbles vs. Stock Bubbles: A Greenwood–Shleifer Analysis

**Goal.**

The bubble debate (Fama vs. Shleifer) is central to Week 1–2. This project applies the Greenwood, Shleifer & You (2019) acceleration methodology to cryptocurrency markets and compares it to stock market bubbles.

**Presentation Questions.**

- Are crypto bubbles more or less predictable than stock bubbles?
- Does the acceleration measure work in both markets?
- What role does retail speculation play in crypto?
- How would Fama and Shleifer interpret your findings?

**Suggested Analysis.**

1. Download daily prices for Bitcoin, Ethereum, and at least 5 other major cryptocurrencies (from CoinGecko or Yahoo Finance) for 2015–2024.
2. Download daily prices for the S&P 500 and NASDAQ for the same period.
3. Define a "run-up" as a 100% cumulative return over 24 months and a "crash" as a 40% drawdown within 24 months.
4. Compute the acceleration measure: $\text{Acc}_t = R_{t-24\to t} - R_{t-24\to t-12}$.
5. Run a logistic regression: $\text{Crash}_{i,t} = \alpha + \beta_1 \text{Acc}_{i,t} + \beta_2 \text{Vol}_{i,t} + \epsilon$.
6. Compare crash predictability for crypto vs. stocks.

## 2.3 Project 3: Active vs. Passive Fund Performance in China

**Goal.**

EMH implies that active managers should not persistently beat passive benchmarks. This project tests whether Chinese active equity funds outperform their benchmarks after fees, and whether performance persists.

**Presentation Questions.**

- Do Chinese active funds generate positive alpha?
- Does performance persist? Are winners repeat winners?
- How much of the gross alpha is eaten by fees?
- What are the implications for EMH?

**Suggested Analysis.**

1. Collect monthly returns for at least 50 Chinese active equity funds and 5 passive index funds (from Wind, CSMAR, or fund company websites) for 2015–2024.
2. Compute each fund's alpha relative to the CSI 300 using the CAPM and the Fama–French three-factor model.
3. Test performance persistence: sort funds by past 12-month alpha and compare future alphas of winner vs. loser quintiles.
4. Compute the average expense ratio and compare gross vs. net alpha.
5. Visualize the distribution of alphas and the persistence scatter plot.

## 2.4 Project 4: Speed of Information Incorporation Around Earnings Announcements

**Goal.**

EMH predicts that new information is immediately impounded into prices. This project tests how quickly Chinese stock prices incorporate earnings news by examining the post-earnings announcement drift (PEAD).

**Presentation Questions.**

- Is there PEAD in China? How large is it?
- How quickly does the market incorporate earnings news?
- Is PEAD stronger for small firms or low-coverage firms?
- What behavioral mechanisms could explain PEAD?

**Suggested Analysis.**

1. Collect earnings announcement dates and surprise magnitudes (actual EPS minus consensus) for at least 100 Chinese firms (from CSMAR or Wind) for 2018–2024.
2. Compute cumulative abnormal returns (CAR) in the [-1, +60] day window around the announcement.
3. Sort firms into surprise quintiles and plot the CAR paths.
4. Test whether the CAR continues to drift after the announcement (PEAD).
5. Split by firm size and analyst coverage.
6. Visualize the PEAD by surprise quintile.

## 2.5 Project 5: The Random Walk Hypothesis in Foreign Exchange Markets

**Goal.**

The random walk hypothesis is a cornerstone of EMH. This project tests whether major currency pairs follow a random walk, and whether any predictability exists.

**Presentation Questions.**

- Do exchange rates follow a random walk?
- Are some currencies more predictable than others?
- Do technical trading rules work in FX markets?
- How does this relate to the EMH debate?

**Suggested Analysis.**

1. Download daily exchange rates for at least 6 major currency pairs (USD/CNY, EUR/USD, USD/JPY, GBP/USD, AUD/USD, USD/CHF) for 2010–2024.
2. Conduct runs tests and autocorrelation tests for each pair.
3. Run a variance ratio test for horizons of 2, 5, 10, and 20 days.
4. Test whether technical trading rules (e.g., moving average crossovers) generate profits.
5. Compare the results across currency pairs.
6. Visualize the ACF for each pair.

# 3 Cognitive Psychology

## 3.1 Project 6: Herding in Analyst Recommendations

**Goal.**

The psychology lectures discuss conformity and groupthink. This project tests whether analysts herd—i.e., whether they tend to issue recommendations that cluster around the consensus, especially after large market moves.

**Presentation Questions.**

- Do analysts herd? Is herding stronger after extreme market moves?
- Are less experienced analysts more likely to herd?
- What are the career concerns that drive herding?
- How does herding affect price efficiency?

**Suggested Analysis.**

1. Collect analyst recommendations (buy/hold/sell) and consensus estimates for at least 200 Chinese stocks (from CSMAR or Wind) for 2018–2024.
2. Compute the LSV herding measure (Lakonishok, Shleifer & Vishny, 1992) for each stock-month.
3. Test whether herding increases after large market-wide returns (up or down).
4. Split by analyst experience, brokerage size, and stock coverage.
5. Visualize the time series of herding intensity.

## 3.2 Project 7: Cognitive Dissonance and the Disposition Effect: Evidence from Fund Investor Flows

**Goal.**

Cognitive dissonance predicts that investors avoid information and actions that threaten prior decisions, producing the disposition effect. This project tests these predictions with market data on mutual-fund investor flows instead of surveys: do fund investors redeem winners too quickly and hold losers too long, and do flows reveal information avoidance after poor outcomes?

**Presentation Questions.**

- Do Chinese fund investors exhibit an asymmetric flow–performance relation (redeeming winners faster than losers)?

- Does the asymmetry strengthen after poor market outcomes, consistent with dissonance-driven information avoidance?
- How does fund-level disposition behavior compare with the stock-level disposition effect (Project 35)?
- What are the welfare and asset-pricing consequences (return gap, fund liquidation timing)?

**Suggested Analysis.**

1. Collect monthly net flows for 300+ Chinese mutual funds (Wind or public NAV/share data), 2015–2024.
2. Estimate the piecewise flow–performance relation: regress flow on past 1/3/6/12-month returns, allowing different slopes for gains and losses relative to a flow-weighted proxy for the average investor's cost basis.
3. Test whether the loss-region slope flattens further in months after market declines (dissonance avoidance).
4. Compute the investor return gap (dollar-weighted minus time-weighted returns) and relate it to the asymmetry.
5. Visualize the flow–performance curve and its asymmetry across market states.

## 3.3 Project 8: The Mere Exposure Effect and Home Bias

**Goal.**

The mere exposure effect predicts that people prefer familiar things. This project tests whether investors prefer stocks of companies headquartered near them (local bias) or with familiar brand names.

**Presentation Questions.**

- Do Chinese funds exhibit local bias?
- Do they overweight familiar brands?
- Is the effect stronger for retail or institutional investors?
- What are the rational vs. behavioral explanations?

**Suggested Analysis.**

1. Collect data on Chinese mutual fund holdings by stock and the headquarters location of each stock (from CSMAR or Wind).
2. Compute the distance between the fund manager's location and each stock's headquarters.

3. Test whether funds overweight nearby stocks relative to a market-cap benchmark.
4. Construct a "brand familiarity" measure (e.g., advertising expenditure or brand value rankings) and test whether funds overweight familiar brands.
5. Visualize the local bias and familiarity effects.

## 3.4 Project 9: Groupthink in Investment Committees

**Goal.**

Groupthink (Janis, 1972) predicts that cohesive groups make worse decisions because they suppress dissent. This project tests whether investment committees with more homogeneous members make worse decisions.

**Presentation Questions.**

- Do homogeneous teams perform worse?
- Is there evidence of groupthink in Chinese funds?
- What are the policy implications for fund governance?
- How would you measure groupthink more directly?

**Suggested Analysis.**

1. Collect data on Chinese mutual fund management teams: team size, tenure diversity, educational diversity, and gender diversity (from fund disclosures).
2. Compute a "groupthink risk" score based on homogeneity.
3. Regress fund performance (alpha) on the groupthink score.
4. Test whether homogeneous teams trade more (a sign of overconfidence) and have higher turnover.
5. Visualize the relationship between diversity and performance.

## 3.5 Project 10: Do Investors Follow Authority? Market Reactions to Star Analyst Recommendations

**Goal.**

The Milgram experiments show that authority commands undue compliance. Instead of surveying investors, this project measures the market footprint of authority: how prices, volumes, and subsequent returns respond to recommendation changes by star (high-authority) versus ordinary analysts.

**Presentation Questions.**

- Do recommendation changes by star analysts generate larger announcement returns and abnormal volume?
- Do investors over-follow authority (post-event drift or reversal after star recommendations)?
- Are star-analyst recommendations more accurate ex post, or merely more influential?
- Does the authority premium differ for upgrades vs. downgrades and across brokerage tiers?

**Suggested Analysis.**

1. Collect analyst recommendation revisions for A-shares (CSMAR/Wind), 2018–2024.
2. Classify analysts by authority: New Fortune/Institutional Investor star rankings, seniority, and brokerage tier.
3. Event study: CAR and abnormal volume in $[-1, +5]$ around revisions, comparing star vs. non-star analysts.
4. Track 6–12 month post-revision returns to distinguish information from influence.
5. Visualize the response asymmetry and discuss career-concern vs. authority explanations.

# 4 Preferences: Prospect Theory & Beyond

## 4.1 Project 11: Loss Aversion and the Equity Premium Puzzle

**Goal.**

The prospect theory lectures discuss loss aversion. This project tests whether loss aversion can explain the equity premium puzzle by estimating the degree of loss aversion needed to match historical returns.

**Presentation Questions.**

- What loss-aversion coefficient is needed to explain the equity premium?
- Is the implied $\lambda$ plausible?
- How does the evaluation horizon affect the result?
- What are the limitations of this approach?

**Suggested Analysis.**

1. Collect historical annual stock market returns and risk-free rates for China and the US (1990–2024).
2. Estimate the equity premium for each country.
3. Use the Benartzi–Thaler (1995) framework to compute the loss-aversion coefficient ($\lambda$) needed to match the observed premium.
4. Compare the implied $\lambda$ to experimental estimates (typically 2.25).
5. Test sensitivity to the evaluation horizon (annual vs. monthly).
6. Visualize the implied $\lambda$ across horizons.

## 4.2 Project 12: Probability Weighting and Lottery Stocks

**Goal.**

Cumulative prospect theory predicts that investors overweight small probabilities, leading to overpricing of lottery-like stocks. This project tests whether Chinese stocks with lottery-like payoffs (high skewness, high max return) have lower future returns.

**Presentation Questions.**

- Do lottery-like stocks underperform?
- Which measure (MAX, skewness) is the best predictor?
- Is the effect stronger for retail-dominated stocks?

- How does this relate to probability weighting?

**Suggested Analysis.**

1. Download monthly returns for all Chinese A-shares (from CSMAR or Wind) for 2010–2024.
2. Construct lottery-like measures: (i) maximum daily return in the past month (MAX), (ii) idiosyncratic skewness, (iii) expected skewness from a regression model.
3. Sort stocks into deciles by each measure and compute future monthly returns.
4. Run Fama–MacBeth regressions of returns on the lottery measures plus controls.
5. Visualize the decile return spreads.

## 4.3 Project 13: Narrow Framing and Naive Diversification in Pension and Fund-of-Fund Portfolios

**Goal.**

Narrow framing and the $1/N$ heuristic predict that investors evaluate and allocate across funds naively. This project tests these predictions using the disclosed portfolio weights of Chinese fund-of-funds (FOFs) and pension products—market data rather than surveys.

**Presentation Questions.**

- Do FOF and pension portfolios approximate equal weights ($1/N$) rather than mean–variance optimal weights?
- Does the risky-asset share track the composition of the eligible product menu?
- What is the certainty-equivalent welfare cost of observed allocations relative to an optimized benchmark?
- How do default product lines (target-risk FOFs) shape observed weights?

**Suggested Analysis.**

1. Collect quarterly disclosed holdings of 30+ Chinese FOFs and pension products (fund reports/Wind).
2. Compute weight dispersion, distance to $1/N$, and distance to a market-cap benchmark.
3. Regress the equity share on the share of equity funds in the eligible menu.
4. Backtest 2018–2024: compare realized portfolio outcomes with a mean–variance optimized benchmark using estimated moments.
5. Quantify the certainty-equivalent loss and visualize weight patterns across funds.

## 4.4 Project 14: Ambiguity, Disagreement, and the Cross-Section of Returns in China

**Goal.**

Ambiguity aversion and heterogeneous beliefs with short-sale constraints (Miller, 1977) predict that stocks with greater belief disagreement are overpriced and earn lower subsequent returns. This project tests the disagreement premium using analyst forecast dispersion as an ambiguity proxy—market data replacing the participation survey.

**Presentation Questions.**

- Does high forecast dispersion predict lower future returns in the Chinese cross-section?
- Is the effect stronger when short-sale constraints bind (pre-2010 subsample; the 2015 ban episode)?
- How does the dispersion premium interact with retail ownership and turnover?
- Can a rational ambiguity/disagreement account explain the pattern better than lottery preferences?

**Suggested Analysis.**

1. Construct monthly dispersion (cross-analyst std of EPS forecasts, scaled by price) for A-shares (CSMAR/Wind).
2. Sort stocks into dispersion deciles; compute value-weighted future returns and Fama–MacBeth regressions with size, BM, turnover, and momentum controls.
3. Interact dispersion with short-sale constraint proxies and compare pre/post the 2010 margin-trading introduction.
4. Contrast with MAX/skewness lottery measures to separate rational ambiguity from probability weighting.
5. Visualize decile spreads and the constraint-conditional effects.

## 4.5 Project 15: Present Bias and the Demand for Commitment: Evidence from Lock-up Funds

**Goal.**

Present-biased investors demand commitment devices. Rather than eliciting time preferences by survey, this project infers them from revealed demand: who buys lock-up and closed-end funds, at what price, and with what outcomes?

**Presentation Questions.**

- Do investors accept lower liquidity (and possibly lower returns) for commitment structures?
- Does demand for lock-up funds rise with market heat (retail inattention to long-run needs)?
- Do locked-in investors earn higher realized (dollar-weighted) returns than open-end investors—the opposite of the usual return gap?
- Which investor clienteles (retail vs. institutional shares) select commitment products?

**Suggested Analysis.**

1. Assemble the universe of Chinese closed-end and regular open-end equity funds with lock-up clauses, 2015–2024 (Wind).
2. Compare fees, flows, and subscription patterns between lock-up and matched open-end funds.
3. Regress lock-up fund choice (fund-level logit) on market heat (turnover, new-account openings) and past returns.
4. Compute the investor return gap (Friesen–Sapp) for both structures.
5. Visualize demand cycles and the return-gap comparison.

# 5 Beliefs: Overconfidence & Extrapolation

## 5.1 Project 16: Overconfidence and Speculation in the Chinese IPO Market

**Goal.**

Overconfident retail investors overestimate their ability to pick winners and underestimate risk. The Chinese IPO market—lottery subscription, extreme first-day trading, and long-run drift—provides ideal market data to test overconfidence without surveys.

**Presentation Questions.**

- Are IPOs with stronger lottery demand (lower win rates) more overpriced on debut?
- Do first-day returns and turnover predict long-run underperformance?
- How did the 2019 registration-system reform change the degree of retail speculation?
- Is IPO underpricing in China primarily an overconfidence/attention phenomenon or an institutional one?

**Suggested Analysis.**

1. Collect IPO data 2015–2024 (CSMAR/Wind): offer terms, win rates, first-day returns/turnover, and 1-year BHAR.
2. Regress first-day returns on lottery-demand proxies (win rate, offer size, pre-IPO media coverage).
3. Test the predictability of 12-month underperformance from first-day indicators.
4. Difference-in-differences around the 2019 STAR Market registration reform.
5. Visualize the speculation–underperformance relation across regimes.

## 5.2 Project 17: Over-Extrapolation and Return Predictability: Evidence from Target Prices and Fund Flows

**Goal.**

Investors and analysts extrapolate past returns into the future. Instead of surveying expectations, this project measures extrapolation directly from market data: analysts' target-price implied returns and the flow–performance chasing of fund investors.

**Presentation Questions.**

- Do analysts' target prices over-extrapolate past market and stock returns?
- Do fund flows chase past performance, and how strong is the chasing at the aggregate level?

- Does an aggregate extrapolation index negatively predict future market returns?
- When is extrapolation strongest (booms vs. crashes)?

**Suggested Analysis.**

1. Collect analyst target prices for A-shares (CSMAR/Wind) and compute implied expected returns.
2. Regress implied returns on past 6/12/36-month returns (stock and market) to estimate extrapolation coefficients.
3. Construct an aggregate extrapolation index from fund flow–performance chasing and target-price bias.
4. Regress future 3–12 month market returns on the extrapolation index.
5. Visualize the time series of extrapolation and its predictive relation.

## 5.3 Project 18: Self-Attribution Bias and Analyst Forecasts

**Goal.**

Self-attribution bias predicts that people take credit for successes and blame external factors for failures. This project tests whether analysts exhibit self-attribution bias in their forecast revisions.

**Presentation Questions.**

- Do analysts exhibit self-attribution bias?
- Is the bias stronger for less experienced analysts?
- How does it affect forecast accuracy?
- What are the market implications?

**Suggested Analysis.**

1. Collect analyst forecast revisions and actual earnings for Chinese firms (from CSMAR or Wind) for 2018–2024.
2. Test whether analysts revise forecasts upward more after positive news (taking credit) and downward less after negative news (blaming external factors).
3. Compute the asymmetry in revisions.
4. Split by analyst experience.
5. Visualize the revision asymmetry.

## 5.4 Project 19: Confirmation Bias in Investment Research

**Goal.**

Confirmation bias predicts that investors seek information that confirms their existing beliefs. This project tests whether analysts' research reports are biased toward their existing recommendations.

**Presentation Questions.**

- Do analysts exhibit confirmation bias?
- Does the bias affect forecast accuracy?
- How could investors detect biased research?
- What are the regulatory implications?

**Suggested Analysis.**

1. Collect analyst reports and recommendations for a sample of Chinese stocks.
2. Classify reports as positive, negative, or neutral.
3. Test whether analysts with a "buy" recommendation are more likely to cite positive news and ignore negative news.
4. Compare the tone of reports to subsequent stock performance.
5. Visualize the confirmation bias.

## 5.5 Project 20: Belief Perseverance and Earnings Estimates

**Goal.**

Belief perseverance predicts that people cling to their beliefs even after disconfirming evidence. This project tests whether analysts persist with their earnings estimates after repeated forecast errors.

**Presentation Questions.**

- Do analysts exhibit belief perseverance?
- Are some analysts more prone to perseverance than others?
- How does perseverance affect market efficiency?
- What debiasing techniques could help?

**Suggested Analysis.**

1. Collect analyst earnings forecasts and actual earnings for Chinese firms (2018–2024).

2. Identify analysts who have made repeated forecast errors for the same firm.
3. Test whether these analysts continue to make similar errors (perseverance) or correct them.
4. Compute the persistence of forecast errors.
5. Visualize the error persistence.

# 6 Limits to Arbitrage

## 6.1 Project 21: ADR vs. A-Share Price Discrepancies

**Goal.**

The limits-to-arbitrage lectures discuss twin shares. This project tests whether Chinese ADRs (American Depositary Receipts) and their underlying A-shares trade at parity, and what limits arbitrage.

**Presentation Questions.**

- Do ADRs and A-shares trade at parity?
- What limits arbitrage in this case?
- How do capital controls affect the deviation?
- Is the deviation exploitable?

**Suggested Analysis.**

1. Collect daily prices for Chinese ADRs (e.g., Alibaba, JD.com) and their A-share counterparts for 2015–2024.
2. Compute the log deviation from parity.
3. Estimate the half-life of mean reversion.
4. Test whether the deviation is related to short-sale constraints, capital controls, or sentiment.
5. Visualize the deviation over time.

## 6.2 Project 22: ETF Premium/Discount Dynamics in China

**Goal.**

ETFs should trade at NAV, but deviations occur. This project tests whether Chinese ETF premiums/discounts are related to market sentiment, liquidity, and arbitrage constraints.

**Presentation Questions.**

- Do Chinese ETFs deviate from NAV?
- What drives the deviations?
- Are deviations exploitable?
- How do limits to arbitrage apply?

**Suggested Analysis.**

1. Collect daily ETF prices and NAVs for at least 20 Chinese ETFs (from Wind or fund company websites) for 2018–2024.
2. Compute the premium/discount for each ETF.
3. Regress the premium/discount on market returns, volatility, and ETF liquidity.
4. Test whether deviations are larger for less liquid ETFs.
5. Visualize the premium/discount distribution.

## 6.3 Project 23: The Impact of Short-Sale Bans on Price Efficiency

**Goal.**

Short-sale bans are a natural experiment for limits to arbitrage. This project tests whether short-sale bans in China (e.g., during the 2015 crash) reduced price efficiency.

**Presentation Questions.**

- Did short-sale bans reduce price efficiency?
- What are the policy implications?
- How do the results compare to other countries?
- What are the limitations of the DiD design?

**Suggested Analysis.**

1. Identify stocks subject to short-sale bans during the 2015 Chinese market crash.
2. Construct a control group of similar stocks not subject to the ban.
3. Compare price efficiency measures (e.g., autocorrelation, variance ratio) before and after the ban.
4. Use a difference-in-differences design.
5. Visualize the results.

## 6.4 Project 24: Convertible Bond Arbitrage in China

**Goal.**

Convertible bonds are complex securities that often trade away from their theoretical value. This project tests whether Chinese convertible bonds exhibit mispricing and what limits arbitrage.

**Presentation Questions.**

- Are Chinese convertible bonds mispriced?
- What limits arbitrage?
- Is the mispricing exploitable?
- How does this relate to the limits-to-arbitrage framework?

**Suggested Analysis.**

1. Collect daily prices for at least 30 Chinese convertible bonds and their underlying stocks (from Wind or East Money) for 2018–2024.
2. Compute the theoretical value of each convertible bond using an option-pricing model.
3. Compute the mispricing (market price minus theoretical value).
4. Test whether mispricing is related to liquidity, volatility, and short-sale constraints.
5. Visualize the mispricing distribution.

## 6.5 Project 25: The Role of Noise Trader Risk in Chinese Stock Comovement

**Goal.**

Noise trader risk predicts that stocks held by retail investors comove more than fundamentals would suggest. This project tests whether retail ownership predicts excess comovement.

**Presentation Questions.**

- Does retail ownership predict excess comovement?
- What are the implications for diversification?
- How does noise trader risk affect asset prices?
- What are the policy implications?

**Suggested Analysis.**

1. Collect data on retail ownership (e.g., from CSMAR or Wind) for all Chinese A-shares.
2. Compute pairwise return correlations for stocks in the same industry.
3. Test whether stocks with higher retail ownership have higher comovement, controlling for fundamentals.
4. Use a factor model to extract the excess comovement.
5. Visualize the relationship.

# 7 Asset Pricing Facts

## 7.1 Project 26: Excess Volatility in Cryptocurrency Markets

**Goal.**

The volatility puzzle is a classic asset pricing fact. This project tests whether cryptocurrency returns are excessively volatile relative to a simple fundamental model.

**Presentation Questions.**

- Is there excess volatility in crypto?
- How does it compare to stocks?
- What behavioral mechanisms explain it?
- What are the policy implications?

**Suggested Analysis.**

1. Download daily Bitcoin and Ethereum prices for 2015–2024.
2. Compute the volatility of returns.
3. Estimate a fundamental value model (e.g., based on network activity or adoption).
4. Compare actual volatility to fundamental volatility.
5. Test whether time-varying discount rates can explain the gap.
6. Visualize the results.

## 7.2 Project 27: The Term Structure of the Equity Premium: Evidence from Chinese ETF Options

**Goal.**

The equity premium is usually estimated at a single horizon, yet recent evidence suggests its term structure slopes downward at the short end. Exchange-listed Chinese ETF options (50ETF since 2015, 300ETF since 2019) provide free, clean, daily option data—an ideal laboratory for undergraduates to estimate horizon-dependent risk premia.

**Presentation Questions.**

- What does the option-implied term structure of expected equity returns look like in China?
- Is the short-horizon premium higher than the long-horizon premium (downward slope), as in US dividend-strip evidence?

- How does the term structure vary across volatility regimes?
- Which framework fits better: standard models (flat or upward slope) or myopic loss aversion (downward slope)?

**Suggested Analysis.**

1. Download daily 50ETF and 300ETF option quotes for free via AKShare (`option_sse_list_sina`, `option_sse_daily_sina`).
2. Compute Black–Scholes implied volatilities; build constant-maturity IV series (1/3/6/12 months).
3. Estimate the option-implied equity premium at each horizon (e.g., put–call-parity forward prices vs. ETF spot prices, plus an IV-based risk-premium decomposition).
4. Compare with realized premiums at matched horizons computed from ETF prices.
5. Plot the term structure and evaluate it against the Campbell–Cochrane (habit) and Benartzi–Thaler (myopic loss aversion) predictions.

## 7.3 Project 28: Category-Based Comovement in Chinese Sectors

**Goal.**

Barberis & Shleifer (2003) predict that investors categorize stocks into styles and trade them as groups, generating excess comovement. This project tests this prediction for Chinese sector ETFs.

**Presentation Questions.**

- Do sector ETFs increase comovement?
- Is the effect consistent with category-based investing?
- What are the implications for diversification?
- How does this relate to Barberis & Shleifer (2003)?

**Suggested Analysis.**

1. Collect daily returns for Chinese sector ETFs (e.g., technology, healthcare, financials) and their constituent stocks.
2. Compute the comovement between ETF returns and constituent returns.
3. Test whether comovement increases after the ETF is introduced (a category is created).
4. Compare to a control group of stocks without ETFs.
5. Visualize the comovement before and after ETF introduction.

## 7.4 Project 29: The January Effect and Other Seasonalities in China

**Goal.**

Seasonal anomalies like the January effect are well-documented in the US. This project tests whether similar seasonalities exist in Chinese stock returns.

**Presentation Questions.**

- Are there seasonal anomalies in China?
- Do they differ from the US?
- What behavioral mechanisms could explain them?
- Are they exploitable after transaction costs?

**Suggested Analysis.**

1. Collect monthly returns for the CSI 300 and individual stocks for 2000–2024.
2. Test for the January effect: compare January returns to other months.
3. Test for the "Halloween effect": compare November–April returns to May–October.
4. Test for the "month-end effect": compare the last few days of the month to other days.
5. Visualize the seasonal patterns.

## 7.5 Project 30: The Equity Premium in Emerging Markets

**Goal.**

The equity premium puzzle is typically studied in developed markets. This project estimates the equity premium for a panel of emerging markets and tests whether it is higher or lower than in developed markets.

**Presentation Questions.**

- Are emerging market equity premiums higher?
- What explains the cross-country variation?
- Is the premium consistent with rational models?
- What are the implications for global investors?

**Suggested Analysis.**

1. Collect annual stock market returns and risk-free rates for at least 15 emerging markets (e.g., from MSCI or World Bank) for 1990–2024.
2. Compute the average equity premium for each country.
3. Test whether emerging market premiums are higher than developed market premiums.
4. Relate the premium to country characteristics (e.g., volatility, political risk).
5. Visualize the cross-country comparison.

# 8 Investor Behavior

## 8.1 Project 31: Attention and Trading: Evidence from Google Trends

**Goal.**

Limited attention predicts that investors buy stocks that catch their attention. This project tests whether Google search volume predicts retail trading and returns.

**Presentation Questions.**

- Does attention predict trading?
- Is the effect stronger for retail investors?
- Does attention predict returns or just volume?
- What are the implications for market efficiency?

**Suggested Analysis.**

1. Download Google Trends data for at least 20 Chinese stock tickers or company names (using Google Trends or Baidu Index).
2. Collect trading volume and returns for the same stocks.
3. Test whether search volume predicts trading volume and returns in the following week.
4. Test whether the effect is stronger for retail-dominated stocks.
5. Visualize the attention-return relationship.

## 8.2 Project 32: The Ostrich Effect: Trading Volume and Attention After Market Losses

**Goal.**

The ostrich effect predicts that investors avoid information after losses. This project tests information avoidance using market data: turnover, margin balances, and attention proxies should respond asymmetrically to gains versus losses.

**Presentation Questions.**

- Does market-level turnover fall after declines relative to equally sized gains?
- Is the asymmetry stronger for retail-dominated stocks and accounts?
- Do margin balances and search/attention proxies also drop after losses?

- How quickly does attention recover after large declines?

**Suggested Analysis.**

1. Assemble daily turnover for the CSI 300 and a broad stock universe, 2015–2024 (CSMAR/Wind).
2. Estimate asymmetric response functions: regress log turnover on positive and negative lagged market returns separately.
3. Repeat cross-sectionally, splitting by retail ownership and institutional holdings.
4. Event-study around the 10 largest market drops: turnover, margin balance, and search-index paths.
5. Visualize the gain/loss asymmetry.

## 8.3 Project 33: Experience Effects: Fund Manager Risk-Taking and Early-Career Market Conditions

**Goal.**

Personal experience shapes risk-taking (Malmendier–Nagel). Applying the idea to market data, this project asks whether fund managers' early-career market conditions persistently affect their portfolio risk.

**Presentation Questions.**

- Do managers who experienced high market returns early in their careers take more portfolio risk?
- Does early-career crash experience reduce subsequent equity exposure?
- Are experience-driven risk postures reflected in performance?
- Do effects attenuate with experience, as the updating model predicts?

**Suggested Analysis.**

1. Assemble fund manager career histories (start year) and fund holdings (Wind/fund disclosures).
2. Construct experience-weighted market returns for each manager's early career.
3. Regress fund risk measures (return volatility, beta, concentration) on experience returns with manager and year fixed effects.
4. Interact with tenure to test attenuation; check performance consequences.
5. Visualize risk-taking by entry-year cohorts.

## 8.4 Project 34: Social Media Attention and Retail Trading: Evidence from East Money Hot Lists

**Goal.**

Social media amplifies behavioral biases, but large-scale scraping is fragile and often blocked. This project uses bounded, officially accessible attention data: East Money's public hot-rank and per-stock discussion metrics via AKShare interfaces, for a fixed sample of stocks.

**Presentation Questions.**

- Does inclusion in East Money hot lists (or surges in discussion counts) predict next-day turnover and returns?
- Is the effect stronger for small, retail-dominated stocks?
- Does attention predict volume more reliably than price, consistent with attention-driven buying?
- How persistent are attention spikes and their effects?

**Suggested Analysis.**

1. Use AKShare's East Money interfaces (hot-rank list and per-stock discussion metrics) to collect daily attention for 30–50 stocks over 6–12 months (bounded sample, no anti-scraping evasion needed).
2. Merge with daily returns and turnover (AKShare/Yahoo Finance).
3. Regress next-day turnover and returns on attention changes with stock and week fixed effects.
4. Split the sample by size and retail ownership.
5. Visualize the attention–volume and attention–return relations.

## 8.5 Project 35: The Disposition Effect in Chinese Retail Portfolios

**Goal.**

The disposition effect is one of the most robust findings in behavioral finance. This project tests whether Chinese retail investors exhibit the disposition effect using public transaction data.

**Presentation Questions.**

- Is there a disposition effect in China?
- Is it stronger than in the US?

- What are the behavioral explanations?
- How does it affect market efficiency?

**Suggested Analysis.**

1. Obtain retail trading data from CSMAR (small-trade records).
2. For each stock-day, compute whether the stock is in a gain or loss relative to the average purchase price.
3. Compute PGR and PLR.
4. Test whether PGR ¿ PLR (the disposition effect).
5. Split by investor characteristics (if available).
6. Visualize the results.

# 9 Behavioral Corporate Finance

## 9.1 Project 36: CEO Overconfidence and Capital Structure

**Goal.**

The behavioral corporate finance lectures discuss overconfident managers. This project tests whether overconfident CEOs use more debt (because they think their stock is undervalued and prefer debt) or less debt (because they are optimistic about cash flows).

**Presentation Questions.**

- Do overconfident CEOs use more or less debt?
- How does firm growth affect the relationship?
- What are the implications for capital structure theory?
- How would you test causality?

**Suggested Analysis.**

1. Collect CEO overconfidence proxies (e.g., option exercise behavior, media coverage) for Chinese or US firms.
2. Collect capital structure data (debt/equity ratios) for the same firms.
3. Regress capital structure on overconfidence and controls.
4. Test whether the relationship differs for high-growth vs. low-growth firms.
5. Visualize the results.

## 9.2 Project 37: Investor Sentiment and Dividend Policy

**Goal.**

Baker & Wurgler (2004) argue that dividend policy is driven by investor sentiment: firms pay dividends when dividend-paying stocks are in favor. This project tests this prediction for Chinese firms.

**Presentation Questions.**

- Does sentiment predict dividend initiations?
- Do initiating firms underperform?
- What are the implications for dividend policy?
- How does this relate to the catering theory?

**Suggested Analysis.**

1. Construct a dividend sentiment index (e.g., the relative valuation of dividend payers vs. non-payers).
2. Collect dividend initiation and omission data for Chinese firms (from CSMAR or Wind).
3. Test whether dividend initiations increase when sentiment is high.
4. Test whether firms that initiate dividends subsequently underperform.
5. Visualize the results.

## 9.3 Project 38: Managerial Overconfidence and M&A Performance

**Goal.**

Malmendier & Tate (2008) show that overconfident CEOs make value-destroying acquisitions. This project tests this prediction for Chinese M&A activity.

**Presentation Questions.**

- Do overconfident CEOs destroy value in M&A?
- Is the effect stronger for diversifying deals?
- What are the governance implications?
- How does this relate to the irrational manager framework?

**Suggested Analysis.**

1. Collect CEO overconfidence proxies and M&A data for Chinese firms (from CSMAR or Wind).
2. Compute announcement returns for acquirers.
3. Test whether overconfident CEOs earn lower announcement returns.
4. Test whether the effect is stronger for diversifying acquisitions.
5. Visualize the results.

## 9.4 Project 39: Corporate Investment and Stock Market Mispricing

**Goal.**

The behavioral corporate finance lectures discuss whether firms invest more when their stock is overvalued. This project tests the "equity-dependent" hypothesis (Baker, Stein & Wurgler, 2003) for Chinese firms.

**Presentation Questions.**

- Do equity-dependent firms invest more when stock prices are high?
- What are the implications for corporate investment?
- How does this relate to the rational manager / irrational investor framework?
- What are the policy implications?

**Suggested Analysis.**

1. Collect investment (CAPEX/Assets) and stock price data for Chinese firms.
2. Construct an equity-dependence measure (low cash, high leverage, low cash flow).
3. Test whether investment is more sensitive to stock prices for equity-dependent firms.
4. Use a difference-in-differences design around market-wide mispricing episodes.
5. Visualize the results.

## 9.5 Project 40: The 52-Week High and Corporate Financing Decisions

**Goal.**

Baker, Pan & Wurgler (2012) show that the 52-week high affects M&A bids. This project tests whether the 52-week high also affects SEO pricing, share repurchases, and other financing decisions.

**Presentation Questions.**

- Does the 52-week high affect financing decisions?
- Is the effect consistent with anchoring?
- What are the implications for capital structure?
- How does this relate to the M&A evidence?

**Suggested Analysis.**

1. Collect SEO, repurchase, and stock price data for Chinese firms.
2. Compute the 52-week high for each firm.
3. Test whether SEO discounts and repurchase activity cluster around the 52-week high.
4. Test whether firms are more likely to issue equity when their stock is near its 52-week high.
5. Visualize the results.

# 10 Psychology-Free Models, Bounded Rationality & Social Finance

## 10.1 Project 46: Heterogeneous Beliefs, Short-Sale Constraints, and Overvaluation: The Miller Mechanism in China

**Goal.**

Psychology-free benchmark: Miller (1977) shows that with heterogeneous beliefs and short-sale constraints, prices reflect optimists only, so high-disagreement stocks are overpriced. This project tests whether this rational, no-bias mechanism explains Chinese cross-sectional returns.

**Presentation Questions.**

- Do high-disagreement stocks earn lower subsequent returns in China?
- Does the effect strengthen when short-sale constraints tighten (2015 ban; low margin-list coverage)?
- Can Miller's mechanism account for the MAX/lottery patterns documented in Project 12?
- What distinguishes the rational disagreement story from behavioral overpricing?

**Suggested Analysis.**

1. Disagreement proxies: analyst forecast dispersion, turnover, and forecast dispersion of longer-horizon EPS.
2. Decile sorts and Fama–MacBeth regressions of returns on disagreement with standard controls.
3. Interact disagreement with short-sale feasibility (margin-list membership, ban episodes).
4. Compare pricing errors vs. lottery measures head-to-head.
5. Visualize the constraint-conditional disagreement premium.

## 10.2 Project 47: Transaction Costs and the Profitability of Momentum in China

**Goal.**

Psychology-free benchmark: momentum profits could be a compensation for trading frictions rather than under-reaction. This project measures how momentum returns evolve as market-level transaction costs change (Stock Connect, ETF liquidity, fee reforms).

**Presentation Questions.**

- What are gross and net (cost-adjusted) momentum returns in the Chinese A-share cross-section?
- Has momentum profitability declined as trading costs fell since 2015?
- Do momentum crashes cluster in liquidity events, consistent with a friction account?
- How much of the momentum premium survives realistic A-share round-trip costs?

**Suggested Analysis.**

1. Construct standard 12-2 momentum portfolios for A-shares, 2010–2024 (CSMAR).
2. Model round-trip costs (commissions, stamp tax, market impact) over time.
3. Sub-period analysis around cost shocks (2015 fee cuts, Stock Connect expansion).
4. Momentum crash regressions on liquidity measures (Daniel–Moskowitz framework).
5. Report gross vs. net Sharpe ratios and visualize decay.

## 10.3 Project 48: Career Concerns and Forced Trading: Fund Flows and Price Pressure

**Goal.**

Psychology-free benchmark: Shleifer–Vishny (1997) show that delegated management amplifies price pressure—funds facing outflows must sell, pushing prices away from fundamentals, with no psychological bias required. This project tests the footprint of flow-driven trading in China.

**Presentation Questions.**

- Do stocks heavily held by shrinking funds underperform (flow-driven selling pressure)?
- Do aggregate fund flows predict industry-level returns with reversal?
- Is quarter-end window dressing detectable in holdings and prices?
- How large are the implied arbitrage costs of redeemable intermediaries?

**Suggested Analysis.**

1. Fund quarterly holdings and flows (Wind/CSMAR), 2015–2024.
2. Construct flow-implied trades: $\Delta holding_{i,f,t} \approx flow_{f,t} \times weight_{i,f,t-1}$.
3. Regress stock returns on aggregate flow-implied buying with fund and time fixed effects; test for subsequent reversal.
4. Quarter-end event study of heavily held stocks.
5. Visualize price pressure and reversal.

## 10.4 Project 49: Limited Attention and Earnings Announcement Timing in China

**Goal.**

Bounded rationality: attention is scarce, so information released when attention is low (Fridays, holidays, crowded days) is incorporated more slowly. This project tests timing effects with earnings announcements and trading data—no survey needed.

**Presentation Questions.**

- Do announcements on low-attention days (Fridays, pre-holiday) show weaker immediate reactions and larger drift?
- Do announcement-cluster days produce slower aggregate incorporation?
- Does the drift gradient vary with stock size and coverage?
- What do the results imply about PEAD (Project 4)?

**Suggested Analysis.**

1. All A-share earnings announcements 2015–2024 with day/time stamps (CSMAR/Wind).
2. Attention proxies: day-of-week, holiday proximity, number of same-day announcements, pre-announcement turnover.
3. Event study: immediate reaction CAR$[0, 1]$ and drift CAR$[2, 60]$ by attention bins.
4. Cross-sectional splits by size and analyst coverage.
5. Visualize reaction/drift by attention.

## 10.5 Project 50: Category Learning and the Comovement of Newly Listed Stocks

**Goal.**

Bounded rationality: investors process stocks through categories that are learned over time; new listings are only slowly assigned to their fundamental category (Peng–Xiong style category learning). Test with comovement of recent IPOs.

**Presentation Questions.**

- Do newly listed stocks comove excessively with their industry (or market) in their first year?
- Does comovement decline with listing age as the category is learned?
- Do industry-news days induce stronger co-movement for young listings?
- How does the pattern interact with analyst coverage initiation?

**Suggested Analysis.**

1. Sample of IPOs 2016–2022 with daily returns (CSMAR).
2. Compute rolling industry- and market-adjusted $R^2$ by listing month.
3. Regress comovement on listing age, size, and coverage with cohort controls.
4. Event study around first analyst coverage and first earnings.
5. Visualize the age profile of comovement.

## 10.6 Project 51: Sticky Information and the Speed of Analyst Forecast Adjustment

**Goal.**

Bounded rationality: information processing is costly, so forecasts adjust sluggishly even for rational professionals. This project measures sticky updating in analyst forecasts and its asset-pricing footprint.

**Presentation Questions.**

- How slowly do analysts update EPS forecasts after earnings surprises?
- Does forecast stickiness predict post-earnings drift (an aggregate under-reaction channel)?
- Which analysts/firms display the stickiest updating?
- Has stickiness declined with information-technology improvements after 2020?

**Suggested Analysis.**

1. Analyst–firm–quarter forecast panel (CSMAR/Wind), 2015–2024.
2. Measure update speed: error autocorrelation and revision delay after surprises.
3. Regress subsequent stock drift on analyst-level stickiness.
4. Compare pre/post 2020 (platform/AI-assisted information diffusion).
5. Visualize the stickiness distribution and its drift predictability.

## 10.7 Project 52: Migrant Networks and the Geography of Financial Inclusion

**Goal.**

Participation in finance spreads through social networks. This project tests whether cities connected by migration show correlated growth in financial inclusion, using two fully

public datasets: the Baidu Migration Index and the PKU Digital Financial Inclusion Index (which includes an investment sub-index at city level).

**Presentation Questions.**

- Do cities with stronger migration links exhibit correlated growth in financial inclusion?
- Does migration-network exposure predict the investment sub-index of the destination city?
- Are effects stronger for investment than for payments?
- What do networks imply for the geographic diffusion of speculative episodes?

**Suggested Analysis.**

1. Download PKU-DFIIC city-level panels (2011–2023, public Excel) and Baidu Migration Index city-pair shares.
2. Construct network-exposure variables: migration-weighted average inclusion growth of connected cities.
3. Panel regressions with city and year fixed effects; instrument discussion (historical railway links).
4. Robustness with alternative networks (geographic distance, dialect similarity matrices from published sources).
5. Map inclusion diffusion across network space.

## 10.8 Project 53: Alumni Networks and Common Holdings of Chinese Fund Managers

**Goal.**

Professional networks transmit information and norms. Wind's fund-manager module provides structured education-history fields for most managers, eliminating the need for manual CV scraping. This project tests whether alumni-connected managers hold more similar portfolios.

**Presentation Questions.**

- Do managers educated at the same university hold more overlapping portfolios than unconnected pairs?
- Does network proximity predict synchronized trading?
- Do connected positions earn abnormal returns (information channel) or herding discounts (bias channel)?
- How do network effects interact with team-managed funds?

**Suggested Analysis.**

1. Extract manager education histories from Wind's fund-manager profiles (structured field) for all active equity-fund managers; no web scraping required.
2. Construct a manager-pair network (same university; same university+year).
3. Compute holdings-overlap metrics (e.g., active-share overlap) and synchronized-trading measures from quarterly disclosures.
4. Regress overlap on network distance with style, size, and cohort controls; analyze performance of high-overlap connected positions.
5. Visualize the network and the overlap distribution.

## 10.9 Project 54: Social Preferences and ESG Investing: Fund Flows and Performance in China

**Goal.**

Social finance: prosocial preferences channel capital toward ESG assets. This project tests whether ESG ratings and salience move flows and prices in China, and whether disagreement in ratings creates mispricing.

**Presentation Questions.**

- Do ESG-labeled funds attract flows beyond performance (social-preference demand)?
- Do ESG rating upgrades predict returns, or is the effect confined to flows?
- Does rating disagreement across agencies create predictable mispricing?
- What happened to ESG demand after high-profile greenwashing events?

**Suggested Analysis.**

1. Chinese ESG fund list, ratings (Wind/SynTao/CSI ESG), and flows, 2018–2024.
2. Flow regressions on ESG label/rating controlling for performance and fees.
3. Event studies around rating changes and ESG controversies.
4. Cross-sectional returns by rating-disagreement terciles.
5. Visualize the flow–ESG relation and mispricing windows.

# 11 Prescriptive & Social Behavioral Finance

## 11.1 Project 41: Financial Education and Financial Inclusion: Regional Evidence from Public Data

**Goal.**

Financial education should raise inclusion and improve investment behavior. This project tests the hypothesis regionally using two fully public datasets: provincial educational attainment (China Statistical Yearbook) and the Peking University Digital Financial Inclusion Index (PKU-DFIIC), which is freely downloadable and contains an investment sub-index at province and city level.

**Presentation Questions.**

- Does regional educational attainment predict the digital-finance investment sub-index?
- Does the relation survive income, urbanization, and age-structure controls?
- Is the education gradient steeper for investment than for payment usage?
- What do the patterns imply for targeting investor-education programs?

**Suggested Analysis.**

1. Download the PKU Digital Financial Inclusion Index (province/city level, 2011–2023) from its official public release (Excel files).
2. Assemble education, income, and urbanization indicators from the China Statistical Yearbook.
3. Panel regressions of the investment sub-index on educational attainment with province and year fixed effects.
4. Compare sub-dimensions (payment vs. credit vs. investment) to locate where education matters most.
5. Map the regional gradients and discuss causality caveats (no survey data required).

## 11.2 Project 42: Defaults and Sponsored Placement in Fund Distribution: A Snapshot Audit

**Goal.**

Choice architecture—recommended lists, hot rankings, and default dividend options—shapes fund choice. Historical platform snapshots are hard to obtain, so this project uses a bounded, feasible design: one-time snapshots of platform recommendation lists, plus default dividend methods disclosed in fund contracts, followed by forward performance.

**Presentation Questions.**

- Do funds featured on platform recommendation lists underperform matched peers over the following 12 months?
- What fraction of funds default to dividend reinvestment rather than cash payout, and does the default channel flows?
- Are recommended funds more expensive (fees, turnover) than non-recommended peers?
- What would a performance-neutral ranking change, and who would gain?

**Suggested Analysis.**

1. Take a one-day snapshot of recommended/hot fund lists from two or three major platforms (East Money/Tiantian Fund public pages); record rank, category, and stated criteria.
2. For a sample of 100 funds, collect the default dividend method (reinvestment vs. cash) from fund contract announcements (bounded manual collection, one afternoon).
3. Merge with 12-month forward performance, fees, and flows from Wind.
4. Compare recommended vs. matched non-recommended funds (propensity matching on size, age, category).
5. Summarize findings in an audit-style report with a concrete redesign proposal.

## 11.3 Project 43: Commitment Features in Retail Wealth Management Products

**Goal.**

Commitment devices help present-biased savers. The Chinese wealth-management market offers products with lock-up periods and early-exit penalties—revealed demand for commitment that can be studied with issuance and pricing data rather than surveys.

**Presentation Questions.**

- Do investors accept lower promised yields in exchange for longer lock-ups?
- How do issuers price early-exit penalties, and what does the pricing imply about clienteles?
- Which products (retail vs. institutional tranches) carry the strongest commitment features?
- Did demand for commitment products rise after the 2018 WMP regulation tightened implicit guarantees?

**Suggested Analysis.**

1. Assemble a WMP sample with yield, tenor, lock-up, and early-exit terms (Wind/CHINAWEALTH 2018–2024.
2. Regress promised yield on lock-up duration and penalty severity with product-type controls.
3. Analyze issuance shares and flows around the 2018 asset-management new rules.
4. Compare retail-dominant vs. institutional-dominant products.
5. Visualize the yield–commitment trade-off.

## 11.4 Project 44: Behavioral Portfolio Design for Retirees

**Goal.**

The prescriptive lectures discuss how to help people make better financial decisions. This project designs a behavioral portfolio for a retiree that accounts for loss aversion, narrow framing, and probability weighting.

**Presentation Questions.**

- How does the behavioral portfolio differ from a standard one?
- Does it improve welfare under prospect theory?
- What are the practical challenges?
- How would you communicate this to a client?

**Suggested Analysis.**

1. Choose a representative retiree profile (age, wealth, income, risk tolerance).
2. Design a portfolio that addresses behavioral biases: e.g., a "mental accounts" portfolio with a safe bucket and a risky bucket.
3. Backtest the portfolio against a standard 60/40 portfolio.
4. Compute the certainty-equivalent return under prospect theory.
5. Visualize the portfolio and the comparison.

## 11.5 Project 45: Social Contagion in Chinese Housing Markets: Migration Networks and the 70-City Index

**Goal.**

Social interactions affect housing decisions: households learn from and imitate their networks. This project tests whether socially connected cities show correlated price dynamics using only free official data: the NBS 70-city house-price index and the Baidu Migration Index.

**Presentation Questions.**

- Do migration-connected cities exhibit correlated house-price growth beyond economic fundamentals?
- Does connectedness predict rent-to-price gaps or transaction cycles?
- Which channel dominates: information diffusion or herding in purchase timing?
- What do the results imply for regional bubble risk?

**Suggested Analysis.**

1. Download the NBS 70-city new residential price index (monthly, free from the National Bureau of Statistics website).
2. Download Baidu Migration Index city-pair flow shares (publicly accessible) and use them as social-connection weights.
3. Build a city-pair panel; regress price growth in city $i$ on migration-weighted average growth of connected cities, with city and time fixed effects.
4. Placebo tests: repeat with geographic- and economic-distance networks.
5. Visualize the migration network and the estimated spillovers.

## 11.6 Project 55: Debiasing Retail Trading: A Simulation of Simple Trading Rules

**Goal.**

Prescriptive: behavioral finance should improve decisions. This project evaluates concrete debiasing rules on actual retail trading records—simulating what would have happened if investors had followed simple discipline rules.

**Presentation Questions.**

- Which simple rules (stop-loss, no-trade bands, diversification floors) would have improved retail outcomes?
- How large are the gains in Sharpe terms, and who benefits most?
- What are the costs and adherence challenges of each rule?
- Which bias does each rule primarily counteract?

**Suggested Analysis.**

1. Obtain a retail transaction sample (CSMAR small trades or a broker dataset).
2. Simulate counterfactual paths under 4–5 rules (e.g., sell-after-+20%, stop-loss-at-−8%, 30-day cooling-off, minimum 10-stock diversification).
3. Compare return, volatility, and Sharpe distributions under each rule.
4. Heterogeneity: who gains most (overtraders, concentrated holders)?
5. Visualize the distribution shifts and produce a practical rule card.

## 11.7 Project 56: Choice Architecture on Fund Platforms: A Rankings Snapshot Audit

**Goal.**

Platform rankings are the most powerful nudge in modern fund distribution. Because historical ranking snapshots are not public, this project uses a feasible cross-sectional design: one-day snapshots of platform rankings merged with subsequent flows and performance, testing for recency bias and sponsored placement.

**Presentation Questions.**

- How large is the flow premium of top-ranked funds, conditional on past performance?
- Do rankings overweight recent performance (recency bias)?
- Do highly ranked funds experience performance reversal after ranking (crowding)?
- Design a disclosure reform that neutralizes ranking distortions.

**Suggested Analysis.**

1. Take one-day snapshots of platform fund rankings (multiple categories) from two major distribution platforms (public pages).
2. Merge with monthly flows and performance for the following 12 months (Wind).
3. Regress monthly flows on rank indicators controlling for lagged returns, size, and fees; test whether rank loads on recent-quarter performance specifically (recency check).
4. Event-study the forward performance of newly top-ranked funds.
5. Produce a reform memo with expected distributional effects; visualize rank premia.

## 11.8 Project 57: Sludge Audits: Disclosure Complexity and Investor Protection in Chinese Fund Prospectuses

**Goal.**

Sludge—excessive complexity—undermines informed choice. This project audits a bounded sample of Chinese fund prospectuses (50–60 funds) and tests whether complexity correlates with poorer investor outcomes. All documents are freely available from the CSRC-designated disclosure platform or fund company websites.

**Presentation Questions.**

- Which funds have the most complex prospectuses, and is complexity strategic (fee obscuring)?

- Does complexity predict higher fees, churn, or poorer investor returns?
- Do ETF/index funds (simpler products) show systematically lower complexity?
- Propose and defend a simplification standard.

**Suggested Analysis.**

1. Download prospectuses (product summaries and fee sections) for 50–60 funds from the CSRC-designated fund disclosure site.
2. Compute text metrics: length, sentence structure, jargon density using Python (jieba + a small finance lexicon); record fee-section placement.
3. Merge with fees, flows, and performance (Wind); run cross-sectional regressions.
4. Compare complexity across fund types (index vs. active; equity vs. bond).
5. Visualize the complexity–outcome relation and draft the simplification standard.

# 12 Summary Table of All 57 Projects

| # | Topic | Project Title | Data Source |
|---|---|---|---|
| 1 | EMH | Weak-form efficiency in A-shares | Yahoo Finance, AKShare |
| 2 | EMH | Crypto vs. stock bubbles | CoinGecko, Yahoo Finance |
| 3 | EMH | Active vs. passive funds | Wind, CSMAR |
| 4 | EMH | PEAD | CSMAR, Wind |
| 5 | EMH | Random walk in FX | Yahoo Finance |
| 6 | Psychology | Herding in analyst recs | CSMAR, Wind |
| 7 | Psychology | Cognitive Dissonance and the Disposition Effect: Evidence from Fund Investor Flows | Wind, public fund data |
| 8 | Psychology | Mere exposure & home bias | CSMAR, Wind |
| 9 | Psychology | Groupthink in funds | Fund disclosures |
| 10 | Psychology | Do Investors Follow Authority? Market Reactions to Star Analyst Recommendations | CSMAR, Wind |
| 11 | Preferences | Loss aversion & equity premium | Historical data |
| 12 | Preferences | Probability weighting & lottery stocks | CSMAR, Wind |
| 13 | Preferences | Narrow Framing and Naive Diversification in Pension and Fund-of-Fund Portfolios | Wind, public disclosures |
| 14 | Preferences | Ambiguity, Disagreement, and the Cross-Section of Returns in China | CSMAR, Wind |
| 15 | Preferences | Present Bias and the Demand for Commitment: Evidence from Lock-up Funds | Wind, public data |
| 16 | Beliefs | Overconfidence and Speculation in the Chinese IPO Market | CSMAR, Wind |
| 17 | Beliefs | Over-Extrapolation and Return Predictability: Evidence from Target Prices and Fund Flows | CSMAR, Wind |
| 18 | Beliefs | Self-attribution bias | CSMAR, Wind |

| # | Topic | Project Title | Data Source |
|---|---|---|---|
| 19 | Beliefs | Confirmation bias | Analyst reports |
| 20 | Beliefs | Belief perseverance | CSMAR, Wind |
| 21 | Limits | ADR vs. A-share parity | Yahoo Finance |
| 22 | Limits | ETF premium/discount | Wind |
| 23 | Limits | Short-sale bans | Exchange data |
| 24 | Limits | Convertible bond arbitrage | Wind, East Money |
| 25 | Limits | Noise trader risk | CSMAR, Wind |
| 26 | Asset pricing | Excess volatility in crypto | CoinGecko |
| 27 | Asset pricing | The Term Structure of the Equity Premium: Evidence from Chinese ETF Options | SSE ETF options (AKShare) |
| 28 | Asset pricing | Category-based comovement | ETF data |
| 29 | Asset pricing | Seasonalities in China | CSMAR |
| 30 | Asset pricing | Equity premium in EMs | MSCI, World Bank |
| 31 | Investor behavior | Attention & trading | Google Trends |
| 32 | Investor behavior | The Ostrich Effect: Trading Volume and Attention After Market Losses | CSMAR, Wind |
| 33 | Investor behavior | Experience Effects: Fund Manager Risk-Taking and Early-Career Market Conditions | Wind, fund disclosures |
| 34 | Investor behavior | Social Media Attention and Retail Trading: Evidence from East Money Hot Lists | East Money (AKShare) |
| 35 | Investor behavior | Disposition effect | CSMAR |
| 36 | Corp. finance | CEO overconfidence & capital structure | CSMAR, Wind |
| 37 | Corp. finance | Sentiment & dividends | CSMAR, Wind |
| 38 | Corp. finance | Overconfidence & M&A | CSMAR, Wind |
| 39 | Corp. finance | Investment & mispricing | CSMAR, Wind |
| 40 | Corp. finance | 52-week high & financing | CSMAR, Wind |
| 41 | Prescriptive | Financial Education and Financial Inclusion: Regional Evidence from Public Data | PKU Digital Finance Index, Statistical Yearbook |
| 42 | Prescriptive | Defaults and Sponsored Placement in Fund Distribution: A Snapshot Audit | Platform pages, Wind |

| # | Topic | Project Title | Data Source |
|---|---|---|---|
| 43 | Prescriptive | Commitment Features in Retail Wealth Management Products | Wind |
| 44 | Prescriptive | Behavioral portfolio for retirees | Simulation |
| 45 | Social | Social Contagion in Chinese Housing Markets: Migration Networks and the 70-City Index | NBS 70-city index, Baidu Migration Index |
| 46 | Psych-Free Models | Heterogeneous beliefs, shorting constraints, overvaluation (Miller) | CSMAR, Wind |
| 47 | Psych-Free Models | Transaction costs and momentum profitability | CSMAR, Yahoo Finance |
| 48 | Psych-Free Models | Career concerns, forced trading, price pressure | Wind, CSMAR |
| 49 | Bounded Rationality | Limited attention and earnings timing | CSMAR, Wind |
| 50 | Bounded Rationality | Category learning and IPO comovement | CSMAR |
| 51 | Bounded Rationality | Sticky information in analyst forecasts | CSMAR, Wind |
| 52 | Social Finance | Migrant Networks and the Geography of Financial Inclusion | Baidu Migration Index, PKU Digital Finance Index |
| 53 | Social Finance | Alumni Networks and Common Holdings of Chinese Fund Managers | Wind, fund disclosures |
| 54 | Social Finance | ESG preferences, flows, and performance | Wind |
| 55 | Prescriptive | Debiasing rules for retail trading (simulation) | CSMAR |
| 56 | Prescriptive | Choice Architecture on Fund Platforms: A Rankings Snapshot Audit | Platform pages, Wind |
| 57 | Prescriptive | Sludge Audits: Disclosure Complexity and Investor Protection in Chinese Fund Prospectuses | Public fund prospectuses (CSRC site) |

# 13 General Requirements for All Projects

- **Presentation:** 15 minutes + 5 minutes Q&A.

- **Slides:** Maximum 15 slides.
- **Original visualization:** At least one chart/table produced by your group.
- **Citations:** At least 3 academic papers or news articles not on the syllabus.
- **Data audit:** The TA will check raw data, code, and intermediate outputs.
- **Reproducibility:** All code must be submitted in a reproducible format.
- **Group work:** Maximum 3 students per group. Free-riders will be reported.

# 14 Troubleshooting Guide

1. **Data access:** If CSMAR/Wind is unavailable, use free alternatives: Yahoo Finance, AKShare, BaoStock, or official public statistics.
2. **Missing data:** Document your assumptions clearly in a "data provenance" note.
3. **Statistical significance:** Always report standard errors and discuss economic significance, not just statistical significance.
4. **Single-investor data:** Frame findings as case studies, not general results. Compare to published benchmarks.
5. **Programming:** Python (pandas, statsmodels, yfinance) and R are recommended. The TA can provide starter code.